### *Russia's BRICS Agenda and Contending with China's Rise*

Creating a new Great Powers club has proved to be one of Moscow's smartest diplomatic gambits. But no club in which power is so out of balance could be expected to pour fairy dust on Russia's ambitions to be a global rule-maker or contain China's influence. At the start of the twenty-first century, Russia was the largest trading partner and creditor for all of the post-Soviet states in Central Asia, bolstering Moscow's regional dominance. However, a dozen years later, Russia's position relative to China's had significantly eroded, while inflated hopes of creating a ruble zone in Eurasia more broadly were dashed.[117] Instead, Chinese banks became the main source of loans, and Russia's position worsened after oil prices plunged and sanctions restricted new investment.

Few Russians had appreciated that Russia would rapidly be eclipsed by China's tremendous economic power and growing ambition to set the agenda. In nominal terms, China's economy in 2016 was eight times larger than Russia's, and with a much higher potential growth rate. Former minister of finance, Aleksei Kudrin, forecasts Russia's share of the world economy will be the smallest in the post-Soviet era by 2020 (around 2.6 percent in PPP),[118] compared to China's estimated 19.4 percent. Thus, according to a senior Russian official, Moscow has had to accept that China is probably "doomed to play the leading role in the BRICS simply by virtue of its economic power." Moreover, "it is no secret" that the decrease in benefits for the West is primarily being claimed by China.

Russian officials dampen relative gains concerns by asserting that at least so far, China has not sought "to dominate the group," knowing that this would doom the BRICS. On the contrary, according to the director of BRICS Research and coordinator of many BRICS events in Russia, there is a sense that without a "monitoring mechanism" or "BRICS Board of Directors," Beijing would have been much freer to act "and have less need to take into account the interests of its partners."[119]

### *Russia and Global Financial Governance*

As discussed in Chapter 1, Russia was a beneficiary of U.S. outreach to systemically important states to bring them into the Western order, and therefore it should have a nuanced perspective on the incumbent order and perhaps comparatively fewer grievances than some of its BRICS partners.